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Dashboard Discussions

How to frame them, what to make of them...

Our Session Objective

Welcome, it's all about you and your business today…

- Everyone contributes to collaborative thinking.
- Planned Breaks & Housekeeping

- **My/Our Role in the Planning Session is to Challenge What You Believe To Be True!**

- **Your Role is to be Ready To Explore Issues/ Ideas With an Open Heart and an Open Mind.**

- The Objective (expectations) for Today's meeting is that we 'Discover What We've Been Missing'!
- Record what we learn.
- Build an action plan going forward.

The Category Secrets ("If you listen, what they tell you…")

Variable Costs
Materials, Stock, Contract Labour

Do The Job

- Purchasing, Warehousing, Logistics Efficiencies
- Project Management, Wastage/Error Reductions
- Process Improvements, Skill / Equipment Advantages

Activity Costs
Related to securing work and/or sales to customers

Get The Job

- Product 'Fit, Positioning, Packaging, Pricing, Bundling
- Message Clarity & Penetration, Market Knowledge
- Sales Effectiveness, Brand Awareness, Cust' Loyalty

Fixed Costs
The Structural Requirements to 'House' staff & serve customers

Get Organised

- Use of Assets, Model Design, Management Effectiveness
- Leadership, Culture, Employee Engagement, Quality Focus
- Strategic Vision, Stakeholder Returns, Sustainability

If I knew the answer to x, what could I do about it?

Variable Costs	Activity Costs	Fixed Costs
Materials, Shipping, Stock, Contract Labour, * Discounting, Coupon Advertising.	**Related to securing work and/or sales to customers**	**The Structural Requirements to 'House' staff & serve customers**
These costs relate to sales or work engagements that have been secured by agreement with a customer. Provided your terms of engagement are sound and you actively manage the invoicing and receiving tasks of your business, this work will directly result in revenue (money) coming into your business. These are the costs you incur on the 'promise' that you'll get paid when the work is done and delivered.	These costs relate to the efforts you make to secure more business. General Marketing/ Branding (which doesn't relate to a specific call to action for a specific product – 'coupon advertising') and the cost of your salespeople being 'on the road' such as their Fuel costs, Hotel costs Flights etc are examples. These are the costs you incur in the hope that you win more work or make more sales in future.	These costs relate to the tools and 'housing' of your staff. To conduct a transaction, you either 'go to your customer' or you provide a place they can 'come to you'; either way you incur costs related to that decision. These are the costs of 'being in business' based on how you believe things should be done.
You could choose to change how you produce or provide your product or service and/ or, you could change to whom and where you sell it.	**You could choose how you sell and distribute your product or service to make it easier for customers to find you.**	**You could choose 'how much of your customers problem you solve, in-house' and what kind of customer experience you need to provide.**

Think of Your Reviews as a 3x3 Framework...

Cause - Event - Effect

What does the data relate to? - What led up to the performance/ is it typical? - What are the 'downstream' effects of the performance being measured?

Get Organised - Get the Job - Do the Job

+

Variable Costs - Activity Costs - Fixed Costs

What decisions have you made regarding how you organise yourself and your team? What drives your financial choices?

Have you calculated your (best probable) revenue potential against your key business assumptions?

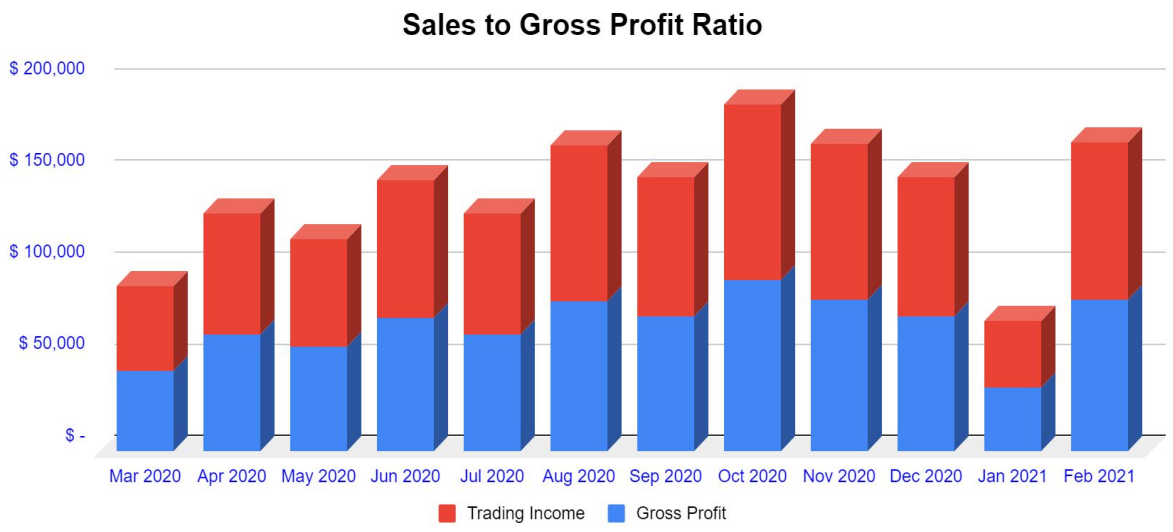
Remember!

- No single ratio or report can give you the whole story.
- Always define if the data is CAUSATION, CORRELATION or COINCIDENCE.
- Always seek a balanced view; look for both ‘good & bad’ data.
- If you’re struggling to gain clarity from a metric - ask 5 Why’s to find the ‘root cause’.

Seek Information; not judgement…

Sales to Gross Profit Ratio

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Product 'Fit, Positioning, Packaging, Pricing, Bundling • Message Clarity & Penetration, Market Knowledge • Sales Effectiveness, Brand Awareness, Cust' Loyalty



Is the information in the graph consistent with your previous business assumptions/ beliefs?	Yes/ No/ Not Sure / Unsure about data integrity/ Accuracy
Which tactical options are of greatest influence & why?	
Did you have any actions planned prior to this data? - (to deal with this) Do they still stand?	

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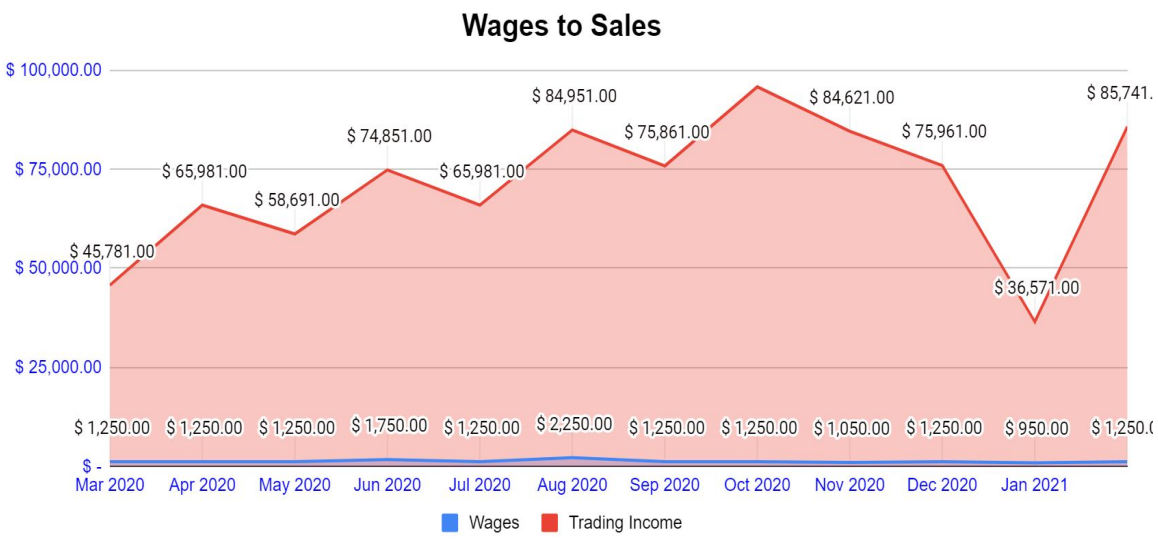
Record your future action steps in the Action Plan Reminder (Green Box on Top Banner)

Wages to Sales Ratio

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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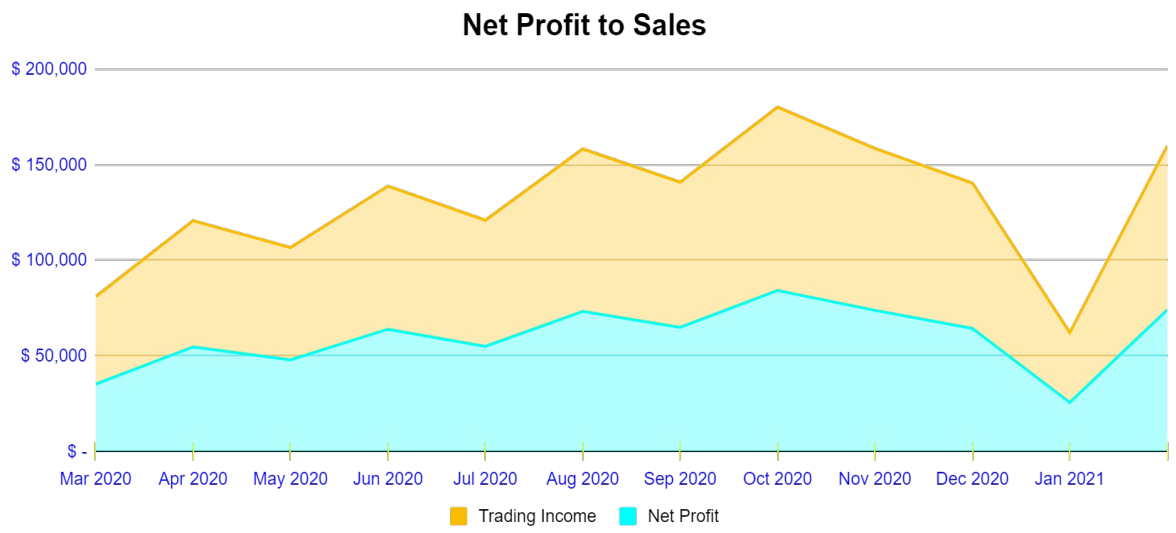
Net Profit to Sales

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs** • **Get Organised - Fixed Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Product 'Fit, Positioning, Packaging, Pricing, Bundling • Message Clarity & Penetration, Market Knowledge • Sales Effectiveness, Brand Awareness, Cust' Loyalty • Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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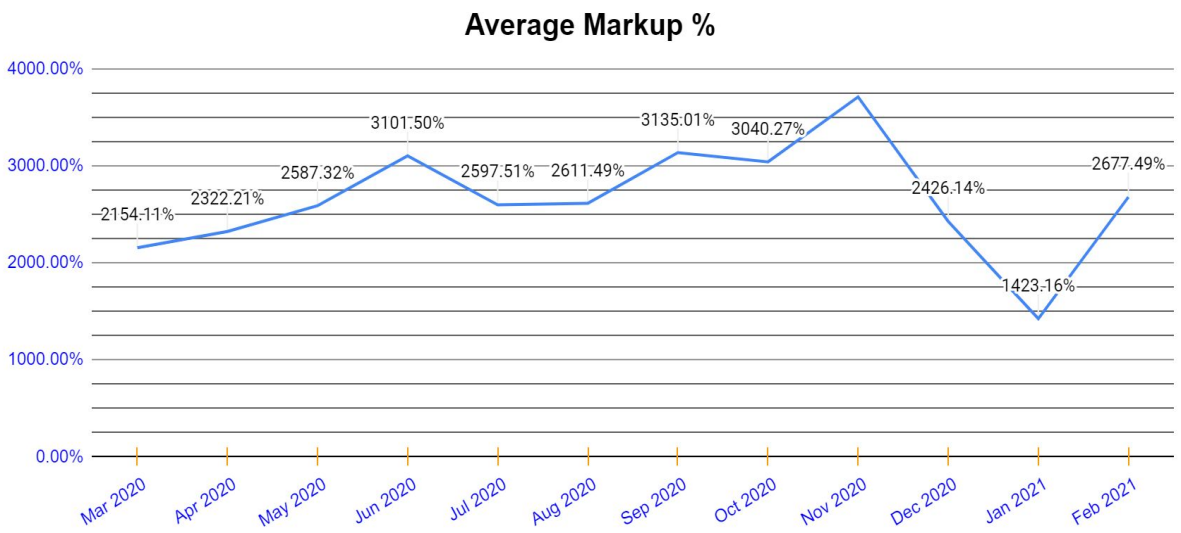
Average Markup %

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Product 'Fit, Positioning, Packaging, Pricing, Bundling • Message Clarity & Penetration, Market Knowledge • Sales Effectiveness, Brand Awareness, Cust' Loyalty



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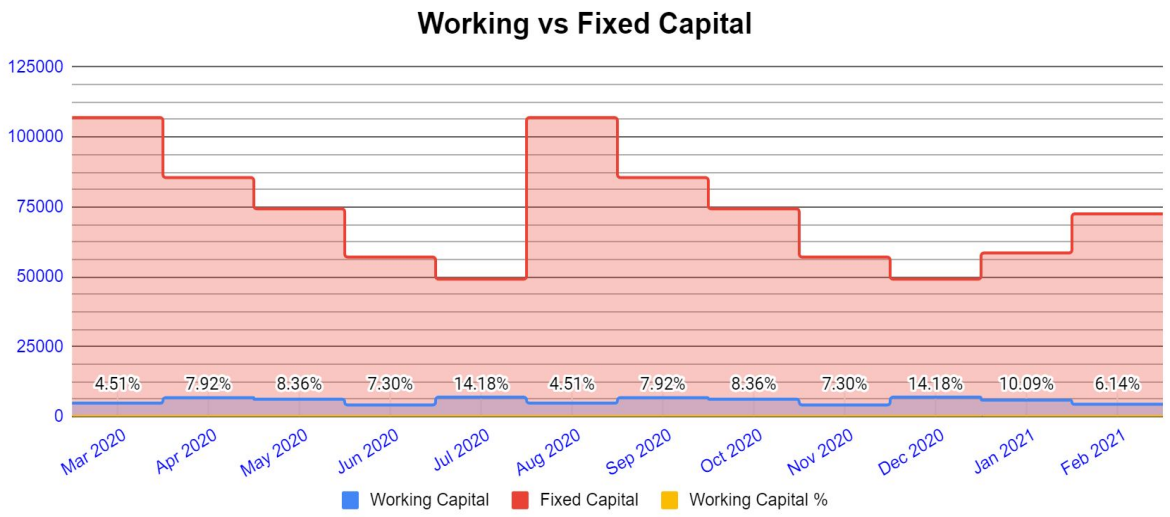
Working vs Fixed Capital

Where it relates	• **Do the Job - Variable Costs** • **Get Organised - Fixed Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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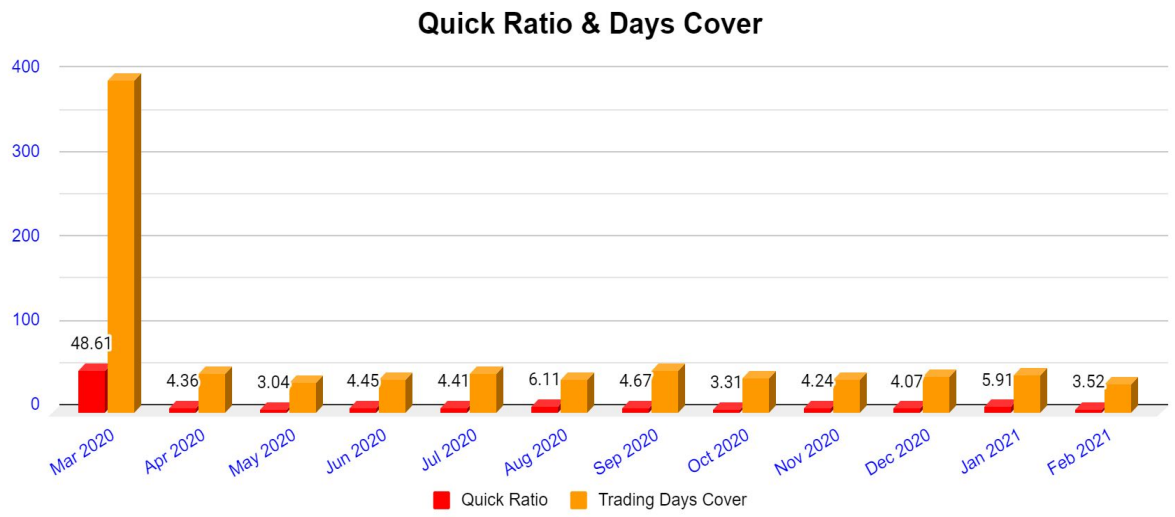
Quick Ratio & Days (Trading) Cover

Where it relates	• **Do the Job - Variable Costs** • **Get Organised - Fixed Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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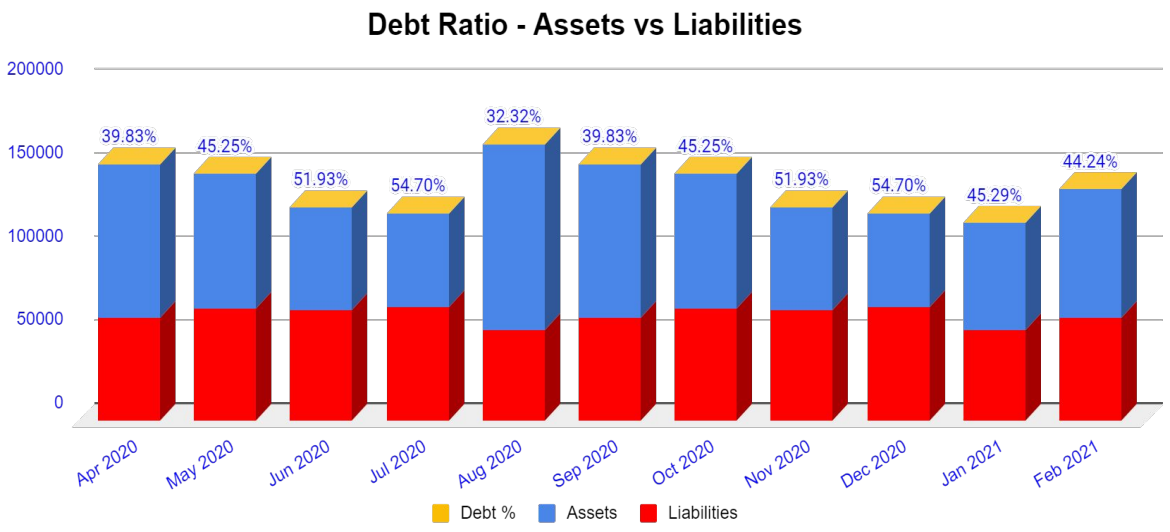
Debt Ratio - Assets vs Liabilities

Where it relates	• **Get Organised - Fixed Costs**

What it highlights (Tactical Options)	• Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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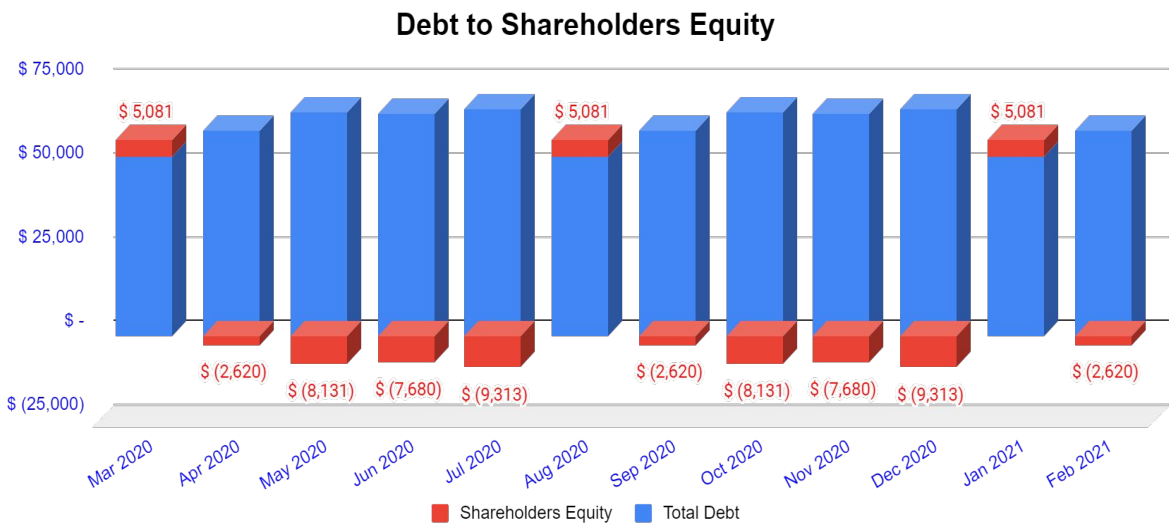
Debt to Shareholders Equity

Where it relates	• **Get Organised - Fixed Costs**

What it highlights (Tactical Options)	• Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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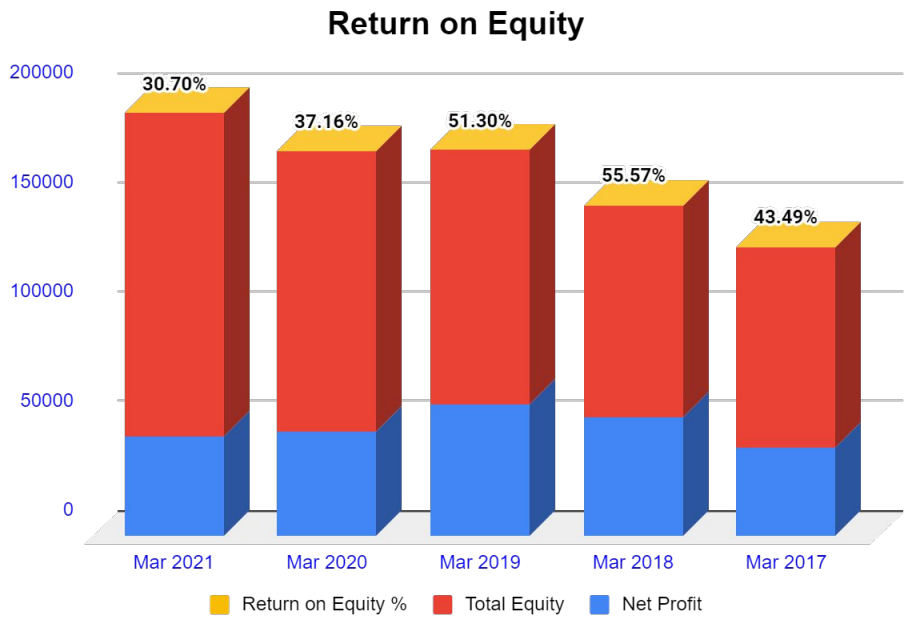
Return on Equity

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs** • **Get Organised - Fixed Costs**
What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Product 'Fit, Positioning, Packaging, Pricing, Bundling • Message Clarity & Penetration, Market Knowledge • Sales Effectiveness, Brand Awareness, Cust' Loyalty • Use of Assets, Model Design, Management Effectiveness • Leadership, Culture, Employee Engagement, Quality Focus • Strategic Vision, Stakeholder Returns, Sustainability



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Division Wages %

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs** • **Get Organised - Fixed Costs**
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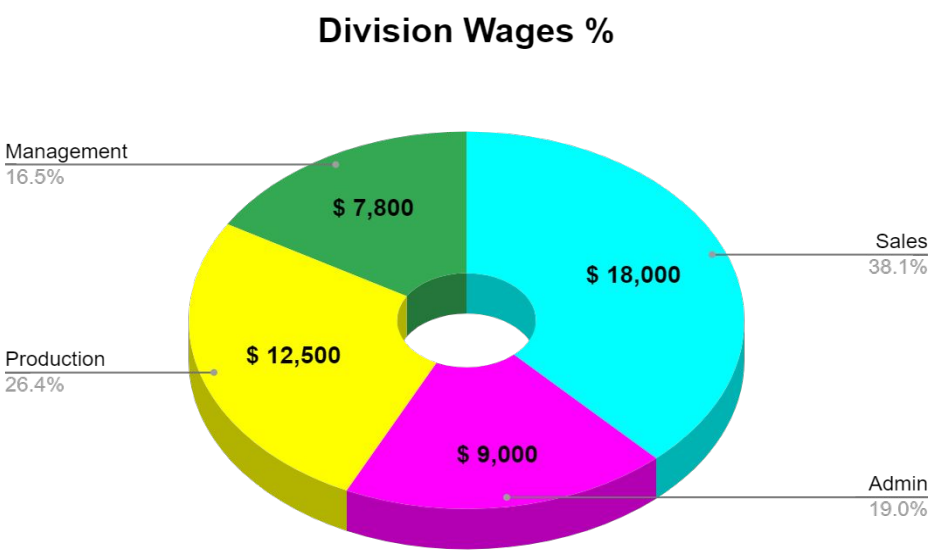

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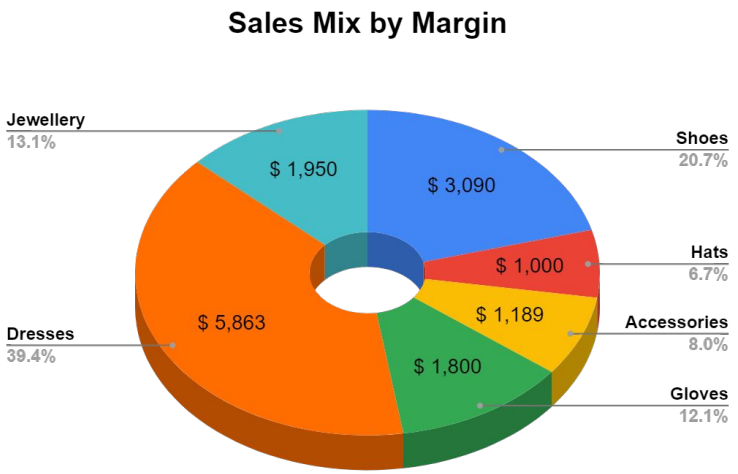
Sales Mix by Margin

Where it relates	• **Do the Job - Variable Costs** • **Get the Job - Activity Costs**

What it highlights (Tactical Options)	• Purchasing, Warehousing, Logistics Efficiencies • Project Management, Wastage/Error Reductions • Process Improvements, Skill / Equipment Advantages • Product 'Fit, Positioning, Packaging, Pricing, Bundling • Message Clarity & Penetration, Market Knowledge • Sales Effectiveness, Brand Awareness, Cust' Loyalty



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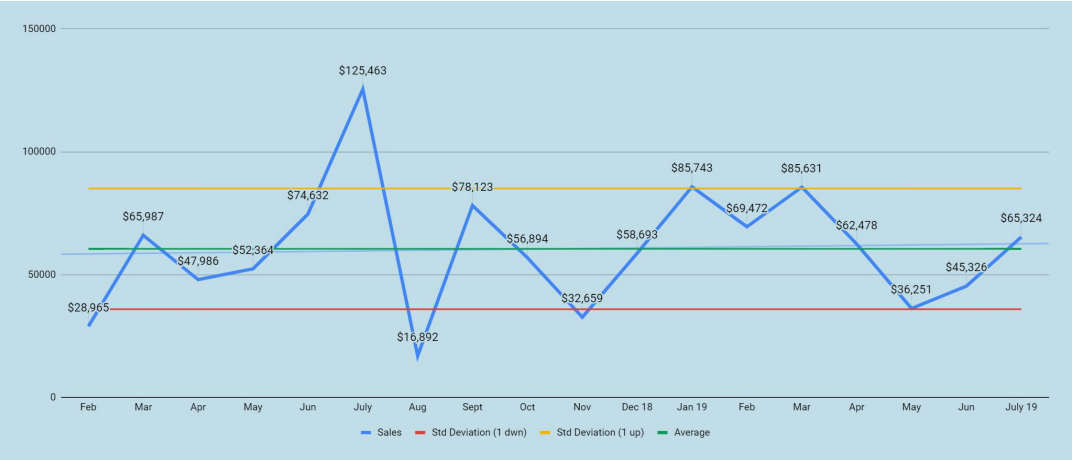
Volatility Analysis

Where it relates	• Do the Job - Variable Costs • Get the Job - Activity Costs • Get Organised - Fixed Costs

1. **Common Cause:** **High Frequency – Low Impact . (Ex, Retail store - rainy day)**
2. **Special Cause:** **Low Frequency - High Impact. (Ex, Earthquake or Pandemic)**
3. **Seasonal:** **Predictable Patterns & Trends (Ex, Selling ice-cream in summer vs. winter)**
4. **Tampering:** **Data Misinterpretation & Response**



Is the information in the graph consistent with your previous business assumptions/ beliefs?	Yes/ No/ Not Sure / Unsure about data integrity/ Accuracy
Which of the data points relate to Special or Seasonal cause?	
Did you have any actions planned prior to this data? - (to deal with this) Do they still stand?	

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Summary Of The Theory

The Dashboard Discussions framework is a structured approach to business analysis that shifts the focus from simply looking at numbers to understanding the underlying operations that drive them. The primary objective of this framework is to foster collaborative thinking, challenge existing beliefs, and help teams discover what they might be missing with an "open heart and an open mind".

The guiding philosophy for analyzing this data is to "Seek Information; not judgement".

At the core of this theory is the 3x3 Framework, which views business reviews through the lens of Cause, Event, and Effect.
It achieves this by aligning three operational phases with three specific types of costs:

1. Do The Job (Variable Costs)

- Definition: These are the costs you incur on the promise that you will get paid once the work is delivered. They directly relate to sales or engagements secured by an agreement, such as materials, shipping, stock, contract labor, or discounting.
- Tactical Focus: If you want to change these costs, you must change *how* you produce or provide your product, or *to whom and where* you sell it. Tactical options include purchasing and logistics efficiencies, project management, and process or skill improvements.

2. Get The Job (Activity Costs)

- Definition: These are costs incurred in the hope of winning more work or securing future sales. Examples include general marketing, advertising, and the travel costs of salespeople (fuel, flights, hotels).
- Tactical Focus: Optimizing these costs involves changing how you sell and distribute your product to make it easier for customers to find you. Improvements come from refining product fit, messaging clarity, market knowledge, and brand awareness.

3. Get Organised (Fixed Costs)

- Definition: These are the foundational costs of "being in business" based on how you believe things should be done. They represent the structural requirements to house your staff and serve your customers.
- Tactical Focus: Modifying fixed costs means choosing how much of your customer's problem you want to solve in-house versus what kind of customer experience you need to provide. Tactical improvements involve asset utilization, management effectiveness, leadership culture, and strategic vision.

Step-by-Step Methods for Practical Application

Step 1: Set the Objective and Mindset
Begin your session by establishing that the role of the participants is to challenge what they currently believe to be true. Ensure everyone is prepared to explore issues collaboratively and remember that no single ratio or report gives you the whole story.

Step 2: Map the Metric to the 3x3 Categories
Select a specific dashboard metric (e.g., Sales to Gross Profit, Wages to Sales, or Net Profit to Sales) and identify which framework components it relates to. For example, the "Wages to Sales Ratio" connects to "Do the Job" (Variable Costs) and "Get the Job" (Activity Costs).

Step 3: Analyze Data Against Business Assumptions
Review the visual data/graphs and ask your team: *Is the information in the graph consistent with your previous business assumptions and beliefs?*. Determine whether the data reflects causation, correlation, or coincidence, and always look for a balanced view of both 'good' and 'bad' data.

Step 4: Conduct Root Cause Analysis
If the data is unclear or performance is not matching expectations, do not jump to conclusions. Instead, use the "5 Why's" technique to drill down and find the fundamental 'root cause' of the metric's performance.

Step 5: Identify Tactical Options and Build an Action Plan
Based on the root cause, review the category secrets to determine which tactical options are of the greatest influence and why. For instance, if you are looking at "Average Markup %," you might focus on tactical options like purchasing efficiencies or waste reduction. Finally, record what you have learned and document your specific future action steps to carry forward.

Common Q&A

Q: Can I just use one major financial metric, like Net Profit, to judge the health of my business?
A: No. A core rule of the framework is that no single ratio or report can give you the whole story. You must look at a variety of metrics and always seek a balanced view of both good and bad data.

Q: How do I categorize the travel expenses for my sales team?
A: These fall under Activity Costs (part of "Get The Job"). They are costs related to the effort of securing more business, rather than directly fulfilling a secured contract.

Q: What should we do if our team is arguing over what a spike in a dashboard chart actually means?
A: First, remind the team to seek information, not judgment. Next, perform a Volatility Analysis to determine if the spike is a Common Cause (high frequency, low impact), a Special Cause (low frequency, high impact like a pandemic), Seasonal, or simply Tampering (misinterpreting data). If it is still unclear, ask the "5 Why's" to uncover the root cause.

Q: If we want to reduce our Fixed Costs ("Get Organised"), what specific areas should we look at?
A: Fixed costs represent the structural requirements of your business. To address them, you should evaluate your use of assets, model design, management effectiveness, leadership culture, and overall strategic vision. You ultimately need to rethink how you "house" your staff and how much of the customer experience you manage internally.